

FRONT RANGE MUTUAL CASUALTY INSURANCE COMPANY
Inland Marine Department | 1801 Broadway, Suite 2200, Denver, CO 80202 | NAIC No. 26315

INLAND MARINE COVERAGE PART
CONTRACTORS EQUIPMENT AND INSTALLATION FLOATER
DECLARATIONS AND SCHEDULES

POLICY NUMBER: IM-7741-15530
POLICY PERIOD: From 08/01/2025 to 08/01/2026 at 12:01 A.M. Standard Time
COVERAGE FORM: FRM-IM 500 (04-25) Combined Contractors Equipment and Installation Floater
COMPANION TO: Commercial General Liability Policy GL-8804-27153 (same Named Insured)

NAMED INSURED: Beacon Mechanical Services, Inc.
DBA Beacon Mechanical | Beacon HVAC & Plumbing

ADDITIONAL NAMED INSUREDS:
Beacon Mechanical Service & Maintenance, LLC
Beacon Sheet Metal Fabrication, LLC

MAILING ADDRESS: 5580 East 56th Avenue
Commerce City, CO 80022

PREMISES: (1) 5580 East 56th Avenue, Commerce City, CO 80022 - office, shop and fabrication, 31,000 sq ft, fenced yard, alarmed, camera monitored
(2) 2712 Aviation Way, Colorado Springs, CO 80916 - branch warehouse, 8,400 sq ft, leased

OPERATIONS: Commercial mechanical contractor - HVAC, hydronic and chilled water piping, sheet metal fabrication, plumbing, boiler and chiller installation, controls, 24-hour service

PRODUCER: Front Range Commercial Insurance Group, Inc.
Producer Code CO-5540
Broker Reference: FRC/IM/2025/7741
7900 East Union Avenue, Suite 1100, Denver, CO 80237
Producer: Hollis Baumgartner-Reyes | (303) 555-0198 | hbaumgartner@frcig.example

SECTION 1 - INSTALLATION FLOATER

Covers materials, supplies, machinery, fixtures, equipment and other property of a like nature that is owned by the Insured, or for which the Insured is legally liable, and that is intended to become a permanent part of a building, structure or installation project on which the Insured is performing work. Coverage attaches from the time the property comes into the Insured's care, custody or control and ceases on the earliest of: installation and acceptance by the owner or general contractor; the property being put to its intended use; ninety (90) days after installation is complete; or the expiry of this policy.

Limit any one project or jobsite	\$ 3,000,000
Limit any one occurrence, all projects	\$ 5,000,000
Property in Transit (owned or non-owned conveyance)	\$ 500,000 any one conveyance
Property in Temporary Off-Site Storage (declared or undeclared)	\$ 750,000 any one location
Property at the Insured's Premises Awaiting Installation	\$ 1,000,000
Property at a Fabricator's or Supplier's Premises	\$ 500,000
Theft of Copper, Copper Pipe, Brass, Wire and Fittings	\$ 150,000 per occurrence
Sheet Metal Duct and Fabricated Assemblies at a Jobsite	\$ 500,000 per occurrence
Debris Removal	25% of loss, plus \$ 100,000
Expediting Expense (air freight, overtime, premium shipping)	\$ 200,000
Testing and Commissioning of Installed Systems	\$ 500,000
Soft Costs and Delay	NOT COVERED

SECTION 2 - CONTRACTORS EQUIPMENT (SCHEDULED AND UNSCHEDULED)

A. Scheduled Equipment (see Schedule of Equipment below)	\$ 1,317,500 total
B. Unscheduled Equipment, per item replacement cost \$ 7,500 or less	\$ 400,000 per occurrence
Maximum any one unscheduled item	\$ 7,500
C. Small Tools, Hand Tools and Power Tools (blanket)	\$ 200,000 per occurrence
Maximum any one tool	\$ 3,500
D. Employee-Owned Tools used in the Insured's business	\$ 75,000 per occurrence
Maximum any one employee	\$ 4,000
E. Rented, Leased or Borrowed Equipment from Others	\$ 750,000 per occurrence
Loss of Use / Continuing Rental Charges	\$ 2,500 per day / \$ 60,000
F. Newly Acquired Equipment (report within 60 days)	\$ 500,000 per item
G. Equipment in Transit	\$ 400,000 any one conveyance
H. Rental Reimbursement Following Covered Loss to Owned Equipment	\$ 1,500 per day / \$ 45,000

I. Employee Theft of Tools, Equipment or Installation Materials	\$ 100,000 annual aggregate
J. Property of Others in the Insured's Care, Custody or Control	\$ 250,000
MAXIMUM ANY ONE OCCURRENCE, SECTIONS 1 AND 2 COMBINED	\$ 5,000,000

SCHEDULE OF EQUIPMENT (SECTION 2, COVERAGE A) - as of 08/01/2025

Item	Year	Description	Make / Model	Serial No.	Limit
E-01	2023	Pipe threading and grooving machine, 4 in.	Ridgid 1224	RID1224230771	\$ 18,500
E-02	2022	Roll groover, hydraulic	Ridgid 918-I	RID918I220884	\$ 14,200
E-03	2024	Plasma cutting table, 5 ft x 10 ft, CNC	Hypertherm XPR170	HYP170XPR24118	\$ 214,000
E-04	2021	Coil line / duct fabrication line	Lockformer Vulcan	LOCVUL21007719	\$ 386,000
E-05	2023	Sheet metal shear, 10 ft hydraulic	Cincinnati 1010	CIN1010230447	\$ 96,000
E-06	2022	Press brake, 90 ton	Accurpress 7259	ACC7259220196	\$ 128,000
E-07	2024	Rough terrain forklift, 8,000 lb	JLG G10-55A	JLGG1055A24771	\$ 92,000
E-08	2023	Scissor lift, 32 ft electric (x4 units)	Genie GS-3246	Multiple	\$ 74,000
E-09	2022	Towable articulating boom lift, 40 ft	Genie TZ-34/20	GENTZ3420220884	\$ 36,500
E-10	2024	Portable chiller, 40 ton (rental fleet)	Trane RTAC040	TRN040RTAC2411	\$ 84,000
E-11	2023	Refrigerant recovery machines (12 units)	Appion / Yellow Jkt	Multiple	\$ 22,000
E-12	2022	Nitrogen and welding equipment, engine drives	Miller Trailblazer	Multiple	\$ 38,000
E-13	2024	Hydrostatic test pumps and leak detection	Multiple	Multiple	\$ 16,800
E-14	2023	Job trailers and secured tool cribs (6 units)	Custom	Multiple	\$ 68,500
E-15	2024	Thermal imaging, air balancing and commissioning instruments	Fluke / TSI / Shortridge	Multiple	\$ 29,000
TOTAL SCHEDULED VALUE					\$1,317,500

Valuation: Replacement Cost for items under six (6) years old; Actual Cash Value thereafter.

Installation materials are valued at the Insured's cost, including freight, taxes and the labour expended to the date of loss, plus the Insured's overhead and profit at the rate in the contract, not exceeding the contract value of the installed work.

DEDUCTIBLES

Installation Floater - all perils	\$ 10,000 per occurrence
Installation Floater - theft of copper, brass and wire	\$ 25,000 per occurrence
Installation Floater - water damage from testing of installed systems	\$ 25,000 per occurrence
Scheduled Equipment - items \$ 100,000 or more	\$ 10,000 per occurrence
Scheduled Equipment - items under \$ 100,000	\$ 2,500 per occurrence
Unscheduled Equipment, Small Tools and Employee Tools	\$ 1,000 per occurrence
Theft from an unattended vehicle or unsecured jobsite	\$ 10,000 per occurrence
Equipment in Transit	\$ 2,500 per occurrence
Rented, Leased or Borrowed Equipment	\$ 2,500 per occurrence
Employee Theft	\$ 10,000 per occurrence

COVERED CAUSES OF LOSS

All risks of direct physical loss of or damage to covered property, except as excluded, while at a jobsite, at the Insured's premises, at a declared or undeclared temporary storage location, or in transit within the United States and Canada. Perils insured include fire, lightning, explosion and smoke; windstorm and hail; weight of snow, ice and sleet; freezing and frozen pipe damage to installation property; theft, burglary and attempted theft; vandalism and malicious mischief; collision, overturn and upset of a transporting conveyance; falling objects and dropped loads; collapse; accidental discharge of water; flood and earth movement (sublimited); riot and civil commotion; and sudden and accidental physical damage occurring during the testing or commissioning of systems installed by the Insured.

Flood and Earth Movement sublimit: \$ 500,000 per occurrence / \$ 500,000 annual aggregate, applicable to Sections 1 and 2 combined, excluding any location in a FEMA Special Flood Hazard Area.

EXCLUSIONS

1. Faulty workmanship, materials, design or specification - the cost of making good the defective work or material itself. Resulting physical damage to other covered property from a Covered Cause of Loss

- is insured.
2. Wear and tear, gradual deterioration, rust, corrosion, scaling, oxidation, inherent vice and latent defect.
 3. Mechanical, electrical, electronic or hydraulic breakdown or derangement of equipment, including compressor, motor, control board and refrigerant circuit failure. Resulting fire, explosion or collision damage IS covered.
 4. Damage to any system caused by its own testing pressure exceeding the manufacturer's rating, or by testing performed outside the Insured's normal working hours without an attendant present, or in breach of the Water Damage Control Condition below.
 5. Property after installation is complete and accepted, after the property is put to its intended use, or more than ninety (90) days after installation, whichever occurs first.
 6. Property that is or becomes the subject of a builders risk policy carried by the project owner or general contractor, to the extent that policy provides valid and collectible insurance. This policy is excess over any such builders risk or installation coverage.
 7. Mysterious disappearance, unexplained shortage or shortage disclosed on taking inventory.
 8. Theft from an unlocked and unattended vehicle unless there are visible marks of forced entry, or from an open jobsite where the property was not stored in a locked container, secured room or fenced compound.
 9. Dishonest acts of the Insured, its partners, officers or directors (employee theft is covered under Coverage I of Section 2 subject to its aggregate limit).
 10. Loss of use, delay, loss of contract, liquidated damages, penalties, soft costs, and all consequential loss.
 11. Contractors equipment while being used for demolition, underground mining, pile driving, or lifted or suspended in the air except as part of a normal installation operation.
 12. Licensed highway vehicles, trucks, tractors, trailers, service vans and any vehicle subject to motor vehicle registration (insure under commercial auto), and aircraft, watercraft and drones.
 13. Property while waterborne.
 14. Mould, fungus, wet rot, dry rot and bacteria, and any resulting remediation.
 15. Pollution and contamination, other than pollutant cleanup necessitated by a covered loss up to \$ 100,000 annual aggregate.
 16. War, terrorism (TRIA rejected), nuclear hazard, governmental seizure, confiscation and repossession.
 17. Cyber incident, malicious code and electronic data corruption, including building automation and controls programming and configuration data.
 18. Refrigerant loss, leakage, contamination or the cost of refrigerant itself, except where lost as a direct result of a Covered Cause of Loss, sublimited to \$ 50,000 per occurrence.

ENDORSEMENTS ATTACHED

FRM-IM 500 (04-25) Combined Contractors Equipment and Installation Floater
 FRM-INST 510 (04-25) Installation Floater Extension - Transit, Storage and Fabricator Premises
 FRM-TEST 520 (04-25) Testing and Commissioning of Installed Systems
 FRM-FRZ 525 (04-25) Freezing and Frozen Pipe Coverage for Installation Property
 FRM-RENT 530 (04-25) Rented, Leased and Borrowed Equipment with Loss of Use
 FRM-RR 535 (04-25) Rental Reimbursement
 FRM-EMP 540 (04-25) Employee Tools and Employee Theft
 FRM-FLD 545 (04-25) Limited Flood and Earth Movement - Non-SFHA Locations
 FRM-REF 550 (04-25) Refrigerant Sublimit
 FRM-WTR 555 (04-25) Water Damage Control Condition - Pressure Testing and System Charging
 FRM-SEC 610 (04-25) Jobsite and Premises Security Condition
 FRM-CYB 501 (01-25) Cyber Incident and Electronic Data Exclusion
 FRM-LP 505 (04-25) Loss Payable Provisions
 FRM-CO STAT (02-25) Colorado Amendatory
 FRM-TRIA 900 (01-21) TRIA - Coverage REJECTED

WATER DAMAGE CONTROL CONDITION (FRM-WTR 555) AND SECURITY CONDITION (FRM-SEC 610)

WATER DAMAGE CONTROL. It is a condition of coverage under Sections 1 and 2 that: (a) hydrostatic and pressure testing of any piping system installed by the Insured is performed only during the Insured's normal working hours with a qualified employee present; (b) no system is left charged, pressurised or filled outside working hours unless the building water supply is isolated or leak detection with automatic shut-off is installed and operational; (c) a written and signed test record is completed for each system tested; and (d) the general contractor or building owner is notified in writing before any system is filled or charged. This condition mirrors the condition in companion policy GL-8804-27153.

SECURITY CONDITION. Copper pipe, fittings, wire, condensing units, compressors, packaged rooftop units and similar high-theft property must be stored in a locked conex container, a locked job trailer, or a secured interior room, and must not be left in the open at a jobsite overnight. Service vans must be locked and tool compartments secured when unattended. Where this condition is not met, the theft deductible is doubled

and the recoverable amount is limited to 50% of the loss.

LOSS PAYEES AND ADDITIONAL INTERESTS

Item E-03 (Hypertherm plasma table) and Item E-04 (Lockformer coil line):

Rocky Mountain Equipment Credit, LLC, Loan No. RMEC-2023-4471 and RMEC-2021-3308

General Loss Payee, all Sections:

Mile High Commercial Bank, N.A., ISA0A/ATIMA, Revolving Credit Facility dated 05/2022

CONDITIONS AND CLAIM REPORTING

1. NOTICE. Report any loss as soon as practicable and within seventy-two (72) hours of discovery to:
Front Range Mutual - Inland Marine Claims
imclaims@frontrangemutual.example | (866) 555-0344, option 4
Do not repair, replace, discard or dispose of any damaged component before we have had a reasonable opportunity to inspect. Preserve the failed pipe, fitting, valve, coil, hose, compressor or component.
2. THEFT. Report to the police within twenty-four (24) hours and provide the incident number, the serial numbers of stolen items, purchase invoices, jobsite security arrangements, and the names of the employees who had access.
3. PROOF OF LOSS within sixty (60) days of our request. For installation losses the Insured must furnish the subcontract or purchase order, the schedule of values, the pay applications, the material invoices, the delivery tickets and the daily job reports.
4. MITIGATION. Reasonable emergency expense up to \$ 10,000 may be incurred without prior approval.
5. OTHER INSURANCE. This policy is EXCESS over any builders risk or installation coverage provided by the project owner or general contractor, and over any coverage on rented equipment provided by the rental company. It is PRIMARY as to the Insured's own scheduled and unscheduled equipment.
6. SUIT LIMITATION. Two (2) years from the date of loss.
7. PREMIUM. Annual premium \$ 61,450. Installation floater rate \$ 0.184 per \$ 100 of annual installation values reported (\$ 21,400,000 estimated); equipment rate \$ 1.610 per \$ 100 of scheduled value.

Countersigned at Denver, Colorado, July 17, 2025.

Authorized Representative

Inland Marine Underwriting Manager